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FX RATES UNITED STATES

Why we've changed our Fed and ECB calls

After hawkish decisions this month, we now expect a rate hike from both the European Central Bank and Federal Reserve in December. We now also expect the US 10-year yield to end the year above 5%



Fed Chair Kevin Warsh and ECB President Christine Lagarde. We now expect rate hikes from both central banks in December

We've updated our central bank views

As central bank watchers, we know that predicting what central banks will do is not always the same as what they should do. Wednesday's Fed meeting and last week's ECB meeting have shown us that both central banks are not likely to follow the very dovish path we anticipated. This is why we have changed our calls for the Fed and the ECB, now expecting them both to hike rates one more time before year-end.

In the past, students of monetary policy learnt that it is almost always the Fed leading new cycles of monetary easing or tightening. As a good rule of thumb, Europe, whether via the ECB or, previously, the Bundesbank, would typically follow three to six months later. Perhaps we can blame globalisation, more integrated economies and financial markets or simply the same exogenous shocks, but whatever the reason, this time around presents one of those rare occasions when the ECB is actually leading the Fed.

For the next few months, both central banks seem set to move in tandem. This comes as no surprise, given that both central banks are facing the same dilemma: a supply-side shock

driven by surging energy prices that has so far produced only limited knock-on effects across the broader economy, set against still-fresh memories of the 2022 inflation surge and delayed central bank responses. At the same time, both the US and eurozone economies show an almost unexpected resilience, though to different degrees.

The much longer-lasting war in the Middle East has not only pushed energy prices to new highs, but also increased the risk that inflation could spread more broadly in the economy. This is why we now expect the Fed and the ECB to hike once more, in order to prevent these knock-on effects from materialising.

If energy prices remain higher for even longer, i.e., into 2027, and/or these knock-on effects materialise faster, both central banks could be forced to hike further. However, this is not our base case scenario, even after our forecast revisions. Our more dovish take, based on a reopening of the Strait of Hormuz before year-end and the fact that firms will not be able to pass through higher costs to consumers, still holds.

Our updated central bank forecasts

	Spot (18 Sep)	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F	2Q28F	3Q28F	4Q28F
Central bank rates (%)											
US (Upper bound)	4.00	4.00	4.25	4.25	4.25	4.25	4.00	3.75	3.50	3.50	3.50
Eurozone (deposit rate)	2.50	2.50	2.75	2.75	2.75	2.75	2.50	2.50	2.50	2.50	2.50
UK (Bank Rate)	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.25	3.25	3.25	3.25
10-year bond yields (%)											
US	4.95	5.00	5.10	4.90	4.75	4.60	4.50	4.50	4.50	4.50	4.50
Germany	3.50	3.50	3.40	3.30	3.25	3.10	3.10	3.10	3.10	3.20	3.20
UK	5.26	5.20	5.30	5.20	4.80	4.60	4.55	4.50	4.50	4.50	4.50
EUR/USD	1.1480	1.15	1.16	1.16	1.18	1.19	1.20	1.22	1.22	1.22	1.22

Source: ING

Our new Fed call: One more hike

We had switched to expecting a September Fed rate hike in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, but characterised it as a likely one-off recalibration move akin to the single hike delivered by Alan Greenspan's Fed in 1997. However, the fact that only two FOMC members believe the central bank won't hike again this year suggests a broader hawkish repositioning has already occurred within the committee.

This has not been driven by economic data. The low-hire, low-fire labour market is keeping a lid on wage growth, which in turn should limit the scope for second-round price effects from higher energy costs. Meanwhile, tariff-related cost increases have largely worked through, with IEEPA tariff refunds providing a cash flow boost to corporate America. The largest component of inflation, shelter, is also looking less threatening, with the stagnant property market contributing to cooling housing rent metrics. We also remain sceptical of so-called "chipflation" given the small weighting within the inflation basket for impacted categories of goods and the

fact the US uses hedonic pricing, which incorporates quality improvements into price calculations.

Instead, it appears the Fed is increasingly focused on accelerating the pace at which inflation converges on the 2% target, fearing the protracted conflict in the Middle East will keep energy-impacted components elevated for longer and risk broader cost increases if left unchecked. We now expect this to mean at least one more rate rise.

In terms of timing, there are two more meetings this year. The first is 28 October, but we only have one round of jobs and inflation data between now and then; the proximity to the mid-term elections on 3 November could also prove a complicating factor. Unless the September jobs numbers and inflation data are very hot – which would leave little choice on a hike – we suspect the Fed would prefer to wait until 9 December.

Only 4 of 18 FOMC members anticipate the need for two hikes this year, but eight do expect a second hike next year. That is going to be contingent on the energy story. Our assumption of a Middle East de-escalation, improved energy flows, and lower prices over the next six months would likely mean an additional hike would not be needed – and as such, we forecast a peak of 4.25% followed by a prolonged pause.

Economic growth remains resilient, but the hefty upward moves at the long end of the yield curve will act as a brake on economic activity in an environment where real household disposable incomes have flatlined for 18 months. There are already signs of consumer stress in the form of low savings rates and rising credit card and auto loan delinquencies to levels last seen during the Global Financial Crisis. The lack of business capex growth outside of the tech sector also underscores the concentration risk within the US economy right now. As a result, we tentatively suggest we could start to see the Fed reversing course again from late 2027, particularly if energy prices are experiencing significant falls by then.

Our new ECB call: A December rate hike

Last week's ECB was not outright hawkish but more subdued and subtle hawkish. Christine Lagarde's downplaying of the concept of neutral interest rates can be seen as a way to prepare the grounds for further hikes. The fact that the staff projections see headline inflation only dropping below 2% in Q4 2027, while at the same time core inflation is expected to increase slightly were also hidden hawkish messages. At the same time, though, there are currently no signs of knock-on effects from higher energy prices. The risk is high that the ECB's own models are not fully capturing structural shifts and are overestimating the broadening of inflation in the economy.

Still, oil prices above 100 USD/bbl and the ECB still regretting its too late response to the inflation shock in 2022 are likely to push the ECB towards another rate hike before year-end. A hike that would still fall in the category 'insurance rate hike', with an increasing risk that

unwarranted damage to the economy could be done.

Looking beyond the next hike, we still think that market expectations of at least two more hikes in 2027 are overdone. It won't take a lot to undermine the picture of eurozone resilience. A picture that is too obvious also painted in the last ECB projections. GDP growth estimates of 0.3% to 0.4% quarter-on-quarter throughout 2027 and 2028 look highly optimistic. We wonder whether there shouldn't be more of an adverse effect on growth from higher oil prices and higher interest rates. Already next week's sentiment indicators (PMIs and Ifo) could change the picture of unbreakable resilience.

As long as there is only very limited spreading of the energy price shock to the rest of the economy, there is very little reason for the ECB to continue hiking next year. Every additional rate hike increases the risk of an unwarranted slowdown of the economy. If we are right and oil prices come down towards the end of this year and knock-effects from higher energy prices remain limited, we don't see additional rate hikes in 2027. If we are wrong, the story could clearly change.

Our Bank of England call: A hold in November (just)

We're sticking to our Bank of England call, which is that rates stay on hold into 2027. But this is entirely contingent on energy prices coming lower.

The Bank is still visibly reluctant to hike rates, partly because there's no sign of second-round effects, and partly because rates are more obviously restrictive than in other economies – particularly with the degree of tightening priced into financial markets.

But at its September meeting, the Bank made it abundantly clear that it's getting harder not to act. It has indicated that at current energy prices, inflation is likely to narrowly top 4% early next year, if only briefly. And the Bank has said previously that 4%+ inflation is statistically more likely to trigger a wider and more persistent price shock.

If that forecast is maintained at the November meeting because energy prices have failed to come down, then we would expect a BoE rate hike. In that scenario, we'd expect a follow-up hike in the spring.

That 4% inflation forecast is not inevitable. A lot of it rests on the uprating of the regulated energy price cap in January, which in turn depends on average natural gas prices over an 'observation window' between mid-August and mid-November. If nothing changes, we're looking at a 25% increase in energy bills at the start of 2027, but we're only a third of the way through that window. A fall in gas prices would temper that increase and therefore the overall peak in headline inflation.

Given our call for natural gas and oil prices to move lower through 4Q, we think our existing call for the Bank of England to keep rates on hold into 2027 is still valid for now. We are, however,

pushing back our forecast for the first rate cut to 3Q next year.

Rates: Direction to come from US Treasuries (10yr from sub-5% to 5.25% to 4.5%)

We've nudged higher anticipated end-year 10yr bond yield forecasts. It's a subtle move, but significant in the sense that it brings into play some key levels. In the US, the key number for the 10yr is now 5.1% at year-end, while for the eurozone we're in the 3.5% area for long-tenor rates. These levels are not wildly different from where we are now, but importantly, leave open the risk that some overshooting can occur in the intermediate period. That's a particular theme for the US 10yr where we've already closed above 5% twice in recent days. We're back below now, but we identify ongoing upside pressure for US long rates as a theme in the coming months. The eurozone has tended to share such moves, and will maintain a tendency to do so. Japanese long rates too should remain under pressure, and the same obtains for long-dated UK Gilts.

Front ends have been pricing in sequences of rate hikes for some time now, across all four major central banks. Specifically, so-called "carry spreads" (official rates to the 2yr) in the 75bp to 100bp range signalled market readiness for the delivery of a "few" hikes by central banks, without specificity on timing. This remains the case, with carry spreads of 65bp, 75bp, 90bp and 95bp for the ECB, Fed, BoE, and BoJ respectively. Think of neutrality at around 30bp, and anything above that as an implied market rate hike discount. The actual delivery of rate hikes is important, as it validates the prior evolution of carry spreads and, in turn, acts as a calming influence for long-end rates. We saw some of that play out as the Fed hiked by 25bp and intimated more. It helped calm long-end inflation expectations and take the US 10yr yield back below 5%.

However, even if inflation expectations have nudged lower, there are other pressures that long ends need to contend with. The first is issuance pressure, or more pertinently, the medium-term issuance narrative stemming from fiscal largesse; we can throw in long-duration hyperscaler issuance as a contributing factor, too. That's the "bad". Then there's the "ugly", in the guise of ongoing energy price pressure stemming from the Iran war. And there is the "good". Higher real rates have been an important driver, and a part of this likely incorporates AI-driven productivity growth. If that last bit was the central driver, we'd have little to worry about. But it's the other, more sinister factors that have predominantly sparked long-end market jitters. There's no doubt that central bank rate hikes help calm such jitters – but they do not make them disappear.

It took some time, but markets have finally developed a laser focus on deteriorating debt dynamics and medium-term financing concerns, particularly in the US. It's not impossible that we get through the coming months without another significant move higher in long-end yields. However, the balance of probabilities suggests there is at least one more leg of long-

end weakness still to play out. In an extreme scenario, this could take US 10-year yields into the 5.25% to 5.5% range. Other markets would likely move in tandem, mapping out similar, albeit less dramatic, blow-outs. Thereafter, we would expect a period of calm, particularly through 2027, as inflation ultimately heads lower. But first, we need to get through 2026.

FX: Short-term downside risk, but EUR/USD profile unchanged

EUR/USD currently has three primary drivers: short-term rate differentials, oil prices and global risk sentiment. Let's look at how these can change and impact the pair in the coming quarters based on our updated views.

1. **Short-term rates (neutral impact).** The EUR and USD swap rate curves look quite similar in their front-end segment – the most relevant one for the currency market. In both countries, rates are expected to be around 70-80bp above current levels at the end of 1H27. While we've revised our central bank calls higher, we remain firmly more dovish than those expectations. One hike each for the ECB and the Fed means similar dovish repricing in both curves in the next couple of quarters. The short-term rate impact on EUR/USD should therefore remain close to current levels into year-end and then gradually tighten throughout 2027. That implies an initially neutral and then gradually positive impact on EUR/USD.
2. **Oil prices (positive impact).** The premise of our dovish rate calls relative to the market is that oil prices will come lower and take the pressure off central banks. Our commodities team still targets an \$80/bbl average for 4Q26. While the oil-EUR/USD correlation can weaken in an energy price decline, it should support the pair on the margin.
3. **Risk sentiment (positive impact).** With the caveat that tech-related jitters can re-emerge at any time, the decline in short-term USD funding costs included in our forecast normally has a positive knock-on effect on FX liquidity and global market sentiment. Lower oil prices would also help in that direction. We expect a positive impact on EUR/USD in our baseline.

Taking all the above into account, we aren't changing our forecast for year-end in EUR/USD: 1.160 is fully in line with the scenario outlined for these drivers according to our calculations. However, risks are more skewed to the downside in the coming weeks.

We feel that the Fed's hawkishness has left EUR/USD more vulnerable, and 1.140 can certainly be tested, with risks extending to the 1.132 June lows if oil prices jump again and the Fed hikes rates in October. Looking at 2027, risks are also on the downside relative to our latest [forecasts](#), which included a move to 1.20 by year-end. That's due to the highest carry attached to USD after two more hikes. That said, if markets start to price in Fed cuts late next year, a broad-based dollar decline remains very possible.

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ASIA WEEK AHEAD AUSTRALIA CHINA

Asia week ahead: RBA decision, key data on China, Japan, Korea, Indonesia

The Reserve Bank of Australia is expected to raise interest rates by 25bp, while investors will also be closely watching China's PMI data, activity and inflation readings from Japan and South Korea, and Indonesia's latest CPI report



Asia Research highlights of the week

[Xi-Trump summit: Pandas and positive vibes but limited progress](#)

[Bank Indonesia holds, but the hiking cycle may not be over](#)

[Oil, not El Niño, is driving Singapore inflation](#)

Australia: RBA expected to hike rates by 25bp

We expect the Reserve Bank of Australia RBA to deliver a decisive 25bp rate hike on Tuesday, reflecting an economy that continues to run hot across multiple fronts. Labour market

conditions remain tight, second-quarter GDP growth surprised to the upside, and recent inflation readings came in stronger than expected. While the housing market shows signs of cooling, we expect the RBA to emphasise that risks remain tilted to the upside and further vigilance is required to ensure prices return sustainably to target.

Separately, August CPI data is likely to accelerate further to 4.1% year-on-year, driven primarily by higher diesel and food prices, alongside persistent underlying core inflation pressures.

China: PMIs expected to slow a modest recovery

China releases September purchasing managers' index data on Wednesday. We look for the National Bureau of Statistics to report a slight recovery in its official manufacturing and non-manufacturing PMIs to 50.1 and 49.2, respectively. The RatingDog PMI, which has generally outperformed lately because of its more export-oriented sample, is out the same day. Industrial profits data is out Monday. Growth in the series has been moderating over the past 3 months, even as overall profits have improved from previous years.

Japan: Activity and inflation data in focus

Japan releases its August services PPI on Monday. Market consensus is for services inflation to remain unchanged at 3.6% YoY, indicating that price pressures in the sector remain firm. Retail sales growth is expected to moderate to 3.2% YoY, from 4.0% in July. Sales are forecast to decline 0.9% month-on-month after the previous month's 2.4% increase. Industrial production is expected to rebound 1.4% MoM, lifting annual growth to 7.0% YoY from 3.9%. The quarterly Tankan survey is expected to show improvement in business sentiment among large manufacturers. The index is expected to rise to 25 from 22, while the outlook is seen rising to 22 from 17.

Tokyo inflation data will be released on Friday. Market consensus is for headline inflation to accelerate to 2.5% YoY, from 1.9%, while core prices rise to 2.4%, from 1.8%. This pickup would suggest that price pressures remain elevated.

South Korea: Trade surplus to widen as inflation eases

South Korea releases August industrial production data on Wednesday. Market consensus expects industrial production growth to accelerate to 4.5% YoY, from 3.6% in July. Monthly output is forecast to rise 0.5%. September trade data, out Thursday, is expected to show a moderation in both export and import growth to 61.2% YoY and 20.7% YoY, respectively. Despite slower growth, the trade surplus is forecast to widen to \$38.4bn, supported by continued strength in technology and semiconductor exports. Headline CPI inflation is expected to ease to 3.0% YoY in September, from 3.1% in August. Core inflation is forecast to slow more sharply to 2.8% YoY, from 3.4%.

Indonesia: Inflation set to accelerate on food pressures

We expect Indonesia's CPI inflation to accelerate to 3.3% YoY, as El Niño drives further increases in food prices. Rising rice prices should remain a key driver, while spillovers from higher food costs are also likely to add to core inflation.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	
Monday 28 September				
Japan	0750	Aug PPI services (YoY%)	CF: 3.6	3.6
China	0930	Aug Industrial Profits (YTD YoY%)		17.6
India	1830	Aug Industrial Output (YoY%)	7,5	6,7
Tuesday 29 September				
Japan	1300	Jul Leading Indicator Revised	-	117,9
Australia	1230	Rate Decision	4,6	4,35
South Korea	0500	Sep Business Confidence	-	81
Wednesday 30 September				
Japan	0750	Aug Retail Sales (MoM%/YoY%)	CF: -0.9/3.2	2.4/4
	0750	Aug Industrial Output Prelim (MoM%/YoY%)	CF:1.4/7.0	-0.2/3.9
	1300	Aug Housing Starts (YoY%)	CF:7	8,2
Australia	0930	Aug Inflation Rate (MoM%/YoY%)	0.6/4.1	1/3.5
China	0930	Sep NBS Manufacturing PMI	50.1	49,8
	0930	Sep NBS Non-Manufacturing PMI	49.2	49
	0945	Sep RatingDog Manufacturing PMI	-	51,5
	0945	Sep RatingDog Services PMI	-	51,4
Malaysia	1500	Aug Money Supply (YoY%)	-	5,7
Philippines	0900	Aug Imports (YoY%)	19	19,8
	0900	Aug Exports (YoY%)	12,5	10,8
	0900	Aug Trade Balance (USD mn)	-5300	-5973
Thailand	1500	Aug Current Account Balance (USD bn)	-	-1,6
	1530	Jul Retail Sales (YoY%)	-	-18,3
South Korea	0700	Aug Industrial Output (MoM%/YoY%)	CF:0.5/4.5	0.2/3.6
	0700	Aug Retail Sales (MoM%)	-	-2,4
Thursday 1 October				
Japan	0750	Q3 Tankan Large Manufacturers Index	CF:25	22
	0750	Q3 Tankan Large Mfg outlook	CF:22	17
	0830	S&P Global Manufacturing PMI Final	-	54,9
India	1300	Sep HSBC Manufacturing PMI Final	-	52,8
Malaysia	0830	S&P Global Manufacturing PMI	-	50,2
Indonesia	0830	S&P Global Manufacturing PMI	-	49,8
	1200	Sep CPI (MoM%/YoY%)	0.3/3,3	0.2/3.2
	1200	Sep Core CPI (YoY%)	2,9	2,9
	1200	Aug Trade Balance (USD bn)	0,7	0,1
	1200	Aug Exports Growth (YoY%)	4	6,1
	1200	Aug Imports Growth (YoY%)	28	27
Philippines	0830	S&P Global Manufacturing PMI	-	54,9
Taiwan	0830	S&P Global Manufacturing PMI	-	54,7
Thailand	0830	S&P Global Manufacturing PMI	-	53,8
South Korea	0800	Sep Exports (YoY%)	CF:61.2	68,7
	0800	Sep Imports (YoY%)	CF:20.7	22,5
	0800	Sep Trade Balance (USD bn)	CF:38.4	34,8
	0830	S&P Global Manufacturing PMI	-	52,3
Friday 2 October				
Japan	0730	Aug Unemployment Rate	CF:2.4	2,4
	0730	Sep Tokyo CPI (YoY%)	CF:2.5	1,9
	0730	Sep Tokyo Core CPI (YoY%)	CF:2.4	1,8
	1300	Sep Consumer Confidence	-	35,5
Hong Kong	1630	Aug Retail Sales (YoY%)	-	2,3
South Korea	0700	Sep CPI (MoM%/YoY%)	CF:0.4/3.0	0.2/3.1
	0700	Sep Core CPI (YoY%)	CF:2.8	3,4
Singapore	2100	Sep Manufacturing PMI	-	51,5
India	1930	FX Reserves (USD bn)	-	780,8

Note: CF=market consensus forecast data

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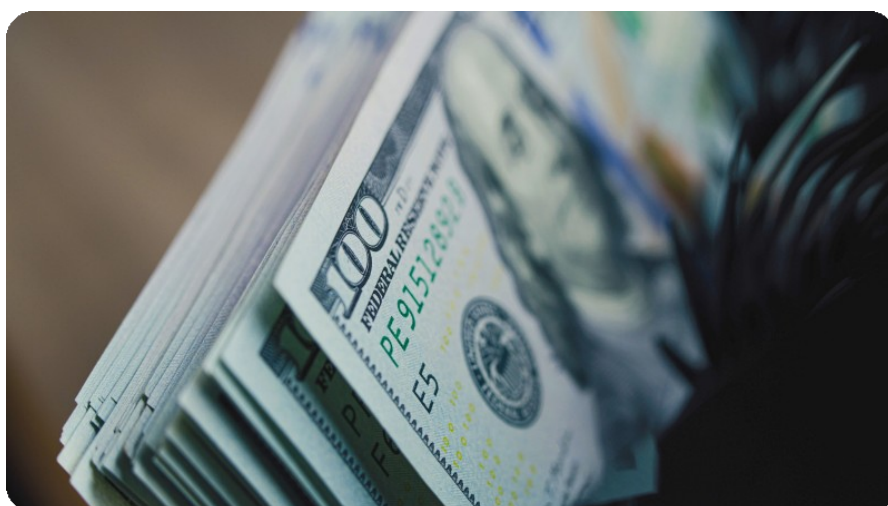
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Article | 25 September 2026

FX

FX Daily: Bond sell-off helps USD consolidate gains

The rise in back-end yields has prompted a risk-off environment that favours a consolidation of recent dollar gains. Markets remain reluctant to price in any optimism into oil prices, which keeps risks on the upside for rates. EUR/USD may still have some room to fall before recovering



The dollar is benefiting from the knock-on effects of the bond sell-off on global risk sentiment

➔ USD: Keeping an eye on the back-end

The global bond sell-off continues to leave its mark on FX. The dollar is benefiting from the knock-on effect on global risk sentiment, allowing a consolidation of recent gains even as they start to look stretched relative to short-term fundamentals. Oil prices remain bid after the UN summit failed to generate tangible optimism about a resolution in the Gulf.

Reports that the US and Iran are discussing a phased deal to reopen the Strait of Hormuz prompted a correction in oil, but losses were fully recouped within a couple of hours, underlining growing scepticism about any imminent de-escalation. It is a dynamic that argues against any material rebound in bonds for now.

By extension, we remain cautious about calling the end of this USD rally. We may see \$110/bbl for Brent before the end of the month, with the dollar finding fresh support from the energy story, especially in an environment where the Fed's hawkish remarks are allowing markets to price in more rate hikes. A testament to that is the 2-year SOFR, which is up almost 20bp over

the past 48 hours. Pricing for October has now reached 18bp, with two hikes fully priced in by January and almost four by July 2027.

Francesco Pesole

➔ **EUR: France a rising concern**

We still view the 1.1320-1.1330 area as the next key support for EUR/USD. We could reach that level quite quickly if oil prices take another sharp leg higher and/or US data surprises to the upside over the next couple of weeks. For now, we do not think new lows are imminent, but downside risks persist.

As for euro-specific drivers, economic resilience ([yesterday's Ifo index](#) mirrored strong PMIs) is at least partly being offset as a EUR-positive factor by wider eurozone spreads. French 10-year yields are trading 110bp above bunds, and there has been little relief from reports that Marine Le Pen may back the proposed budget to avert a bond crisis.

We analysed France's fiscal issues [in this note](#). Risks are tilted towards further spread widening from here, and while the FX impact remains difficult to isolate, it is a narrative that is unlikely to help the euro in the current environment.

Francesco Pesole

➔ **CHF: SNB leaves hawks disappointed**

The Swiss National Bank held rates unchanged as expected but surprised markets on the dovish side yesterday. Despite the upward revision to its inflation projections, policymakers signalled no concerns about second-round effects, with the price shock still viewed as temporary.

The SNB slightly tweaked its currency stance, removing the reference to an "increased willingness" to intervene while retaining its commitment to act when necessary. While this grabbed headlines, it is merely an adjustment reflecting the franc's recent weakness and does not imply any reluctance to intervene again should the currency appreciate.

Market pricing remains too hawkish in our view, and that is what matters most for the Swiss franc. A hike is already fully priced in by March, but we still see few reasons to tighten policy in the foreseeable future. We think downside risks remain for the franc, with EUR/CHF potentially retesting the 0.9480 highs seen earlier in September. USD/CHF is probably where the upside potential is even greater at this point: an October hike from the Federal Reserve could prompt a rally to 0.85 in the near term.

Francesco Pesole

📌 CEE: Energy shock pushes tightening bets to new highs

Regional markets remain under pressure as volatility in core rates and energy prices amplifies moves in CEE rates. At the peak, markets priced in an average of 15bp of additional tightening across the region. Despite a partial correction, rates remain elevated, leaving roughly 125bp of tightening priced in for both Poland and the Czech Republic. High oil and gas prices at yesterday's close, alongside fresh highs in 10-year US Treasury yields, point to continued stress today. Although the backdrop is not directly comparable with the 2022 energy shock, the market response is beginning to look similar. With peak tightening expectations in 2022 reaching 210bp in Poland and 165bp in the Czech Republic, further repricing cannot be ruled out if energy prices continue to rise, regardless of central bank rhetoric.

Yesterday, regional FX found support from improving rate differentials, reversing the narrowing trend in place since early September. This should help to stabilise currencies a bit. However, EUR/USD continues to test new lows and energy prices remain on the rise. Despite headlines suggesting possible US-Iran negotiations, we retain a bearish view on regional FX.

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Article | 24 September 2026

RATES SPARK

Rates Spark: US 10yr continues to target 5.25%+

The overshoot to the 5.25%-5.5% area for the US 10yr yield is ongoing. The front end paused after valuations looked stretched, but resilient macro data, elevated energy prices and inflation pressures generally continue to pressure yields higher



Bearish sentiment continues for long-end bonds

The rate hike discount looks extreme, but long bond yields can remain under pressure

The US 7yr auction tailed moderately. Not as horrendous as the previous day's 5yr auction, which tailed by a substantial 3bp. That auction was the last straw on Wednesday, prompting a follow-through rise in the 10yr yield to over 5.1%. Fast-forward to Thursday, and we're suddenly knocking on the door of 5.2%. And the driver? Predominantly it's higher real yields, as it has been for a number of months now. Which is important, as this is not shielded by the Fed hiking rates, which could be the case if we had an inflation expectations issue. We have a printed inflation problem in the rear-view mirror, but inflation expectations in fact remain relatively contained.

Ahead, we think that there are enough rate hike fears discounted at this juncture, and certainly enough to take care of perceived inflation risks. But, government bond yields are primed to remain under pressure on a pure debt dynamic theory, which translates into pressure for some re-widening in swap spreads, and especially in the 10yr area. So far,

Treasury Secretary Bessent's buyback programme has in fact been successful in the sense that it was followed up by tighter swap spreads.

Thursday saw US\$4.1bn bought back in the latest reverse auction, but we're not of the opinion that the market should be overly concerned with this, in the sense that it's not a negative. It's still a moderate positive for the long end, as the Treasury is doing at least double what they did. We get there is disappointment that it has not been more. But that was never intimated by the Treasury Secretary in the first place, in our opinion. The Treasury Secretary, in fact, should be pleased that swap spreads remain relatively contained, so far at least.

The bearish narrative remains intact with none of the key drivers behind the recent sell-off is showing signs of fading

None of the drivers that brought us the increase in rates are going away. The front end has taken a small breather after valuations started to look stretched, even as oil continued to climb. For the European Central Bank, a full 100bp priced in over the next year does appear ambitious, given that there is still a lot of uncertainty around the outlook. But ECB chief economist Lane basically confirmed on Thursday that the ECB sees itself confronted with the adverse energy market scenario while, at the same time, all data points to ongoing macro resilience.

Long-end rates remain more exposed to upward pressures, with the Bund probing towards 3.6%. That also means limited relief for spreads, with 10y French OATs still yielding 109bp above Bunds. Keep in mind that the 'positives' for France from better data are also limited, with the latest business climate indicator falling. Indeed, the overall strong PMIs masked an unexpected decline in the French manufacturing index. Regarding the broader sentiment, the weakness in equities seems more a mechanical reaction to the rise in rates rather than a genuine risk-off move at this stage. The VIX equity fear gauge stands close to the low end of this year's range.

However, after Wednesday's level-shift higher in rates, the next big moves are more likely to come next week as it features several important data releases. The underlying tenor should not stand in the way of the bearish sentiment.

In the eurozone, the flash CPI releases start on Tuesday with reports from Spain, followed by France, Germany and Italy on Wednesday, and will be scanned for confirmation of the expected rise in both headline and core inflation rates before the eurozone-wide estimate.

It is also a big week ahead for US data, with the official jobs market data for September at the end of the week. At the time of writing, the consensus is pencilled in at a solid 104k increase in non-farm payrolls. The PCE data for August will only confirm the elevated price pressures, as the inputs are largely known from other releases. We will also get the ISMs, which in the US are usually more closely watched than the S&P PMIs, but the market will be looking for

confirmation there too.

Friday's events and market view

In terms of eurozone data we will be looking at the German consumer confidence data and the ECB M3 data. The US will release durable goods orders for August and the final September reading of the University of Michigan consumer confidence index. It will be busier on the central bank speaker front. The Fed's Williams, Schmid and Hammack are scheduled for the day. The Bank of England's Bailey will also speak. From the ECB we have Vujcic.

After the markets close, the scheduled reviews from Moody's will be in focus: Italy (Baa2/Stable, the ESM and the EU (both Aaa/Stable) are on the agency's list for the day. S&P has Slovenia scheduled for a possible review (AA/Stable).

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Article | 24 September 2026

BELGIUM

Belgium's economy faces a difficult autumn

For now, the Belgian economy is not heading into recession, but its resilience is being tested. Renewed energy pressures are likely to push inflation up to near 5%, while a difficult €10bn budget package will weigh on demand. Growth should remain weak, leaving little room for policy errors



We don't expect Belgium to go into recession, but we see growth slowing, inflation near 5% and difficult choices to be made in terms of public finances

Belgium's economy is bending, but not breaking – for now

After a modest first quarter, when the economy grew by 0.2% quarter-on-quarter, Belgian GDP stagnated in the second quarter. On the demand side, household consumption once again proved resilient, rising by 0.4% despite the first wave of higher energy prices. By contrast, business investment fell by 0.7%, while public investment dropped by 8.0%. On the supply side, industry again underperformed, with activity contracting by 0.6% from the previous quarter. In practical terms, Belgian industrial added value in 2026 remains below its level at the end of 2019.

At the end of June, there were grounds to hope that the easing in energy prices would prove lasting, paving the way for activity and inflation to normalise. That optimism helped lift both

consumer and business confidence over the summer. Based on July and August data, the National Bank of Belgium estimated that growth could then rebound by 0.3% in the third quarter.

We are less optimistic, however. The escalation in geopolitical tensions since August has dashed hopes of a swift end to the conflict. In September, diesel prices moved above their early-April peak. European natural gas prices, meanwhile, are now more than twice their level at the start of the year, adding to household energy bills. Combined with the first effects of fiscal tightening, it is hardly surprising that consumer confidence fell back in September to its May low.

Business confidence improved in September, but the headline indicator owes much to manufacturing. Confidence in the sector continued to recover, with the index rising from -17.8 in August to -12.2 in September, close to its level before the conflict in the Middle East. Similar, and somewhat surprising, resilience can be seen elsewhere in Europe. Yet sentiment weakened markedly in every other sector, with the services' indicator falling to its lowest level since October 2023. The bottom line is that Belgium's economy is likely to end the year on a subdued note. We do not expect a recession, but growth is set to remain very weak.

Inflation likely to hit 5%

With fuel and gas prices rising, inflation moved back above 4% in August. Household gas bills and motor fuel prices were both more than 24% higher than a year earlier. But petroleum-related products are not the only source of pressure: household healthcare costs rose by 6.6%, while recreation and culture prices increased by more than 8%.

In the coming months, inflation is likely to climb further. First, energy prices are still rising, whereas they were falling a year ago. The annual comparison will therefore become increasingly unfavourable, mechanically pushing inflation higher. Second, energy prices have now remained elevated for more than six months, increasing the risk that the shock feeds into a wider range of consumer prices. Of the 215 goods and services tracked in the index, 46% recorded a higher inflation rate in August than in July. This is still well below the peak seen in spring 2022, when inflation accelerated for almost three-quarters of the measured items. Even so, the energy shock appears to be spreading more broadly through the economy.

The Federal Planning Bureau recently indicated that inflation could temporarily exceed 5% from the end of this year. Unless geopolitical conditions improve decisively, our own forecasts point in the same direction.

A moment of truth for Belgium's public finances

The next few weeks will be decisive for Belgium's public finances. The prime minister is seeking an agreement on €10bn of recurring savings in the federal budget. The exercise will not be

straightforward. From an accounting perspective, raising revenue or cutting expenditure is relatively simple. Designing measures that limit the damage to household purchasing power and economic activity is much harder – and politically, it may prove close to impossible. Further tensions among the federal coalition parties therefore look likely. The worst-case outcome – not our base case, but a genuine tail risk – would be the collapse of the government. That would undermine household and business confidence, hurting growth, while investors would probably demand a higher risk premium on Belgian government debt. Even if, as we expect, the federal government reaches an agreement, the economy is unlikely to rebound immediately. Bringing public finances under greater control could eventually support consumption and investment, but in the near term fiscal tightening will inevitably weigh on activity in one form or another. With growth fragile and inflation rising, the economic quality of the package – maximising the budgetary return while minimising the drag on the economy – will be crucial for Belgium's 2027 growth outlook.

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Article | 24 September 2026

CZECH REPUBLIC

Czech confidence points to sub-par expansion

We read the confidence indicators as pointing to a rather mediocre economic expansion in the coming quarters, with the Hormuz conflict and high energy prices taking their toll. Meanwhile, inflation is set to rise at the turn of the year, eating into real wage gains and potentially household spending, too

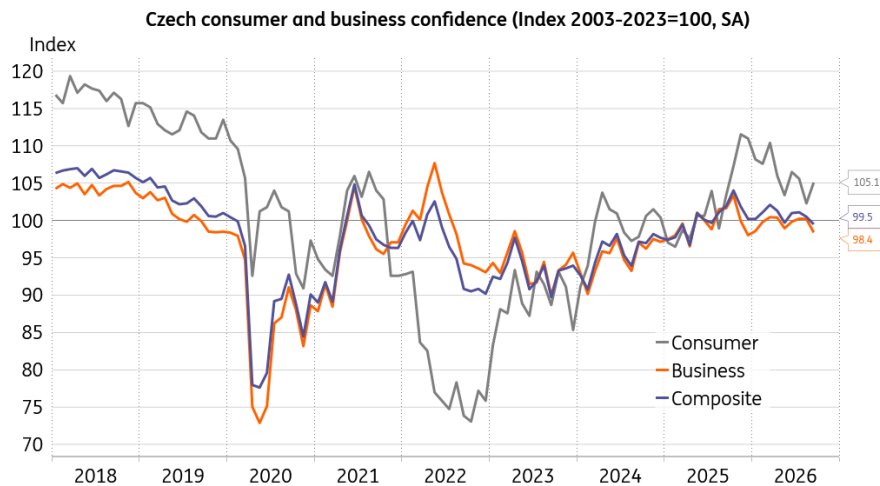


Czech consumer confidence rose in September while business confidence fell

Confidence far from signalling better times ahead

Czech consumer confidence edged higher in September, while business confidence moved in the opposite direction. Both developments are in line with our expectations, only much more pronounced. The consumer confidence indicator rose by 2.8 points to 105.1 in September, stronger than market participants had expected. Nevertheless, we view this increase as a correction following the previous pronounced decline, at least to some extent, and do not perceive it as a decisive turnaround in the deteriorating trend observed since last November. Meanwhile, the business confidence indicator fell 1.8 points to 98.4, coming in below expectations and the long-term average, with services and industry recording the largest declines.

Industry and services took business confidence down



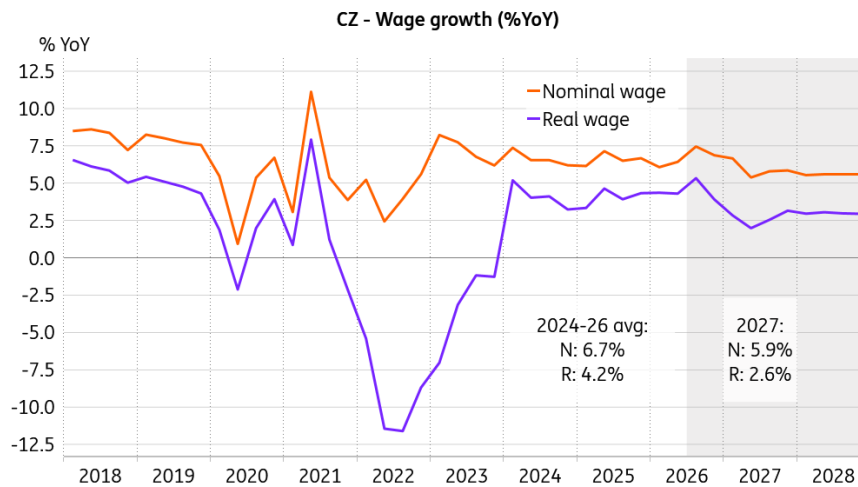
Source: CZSO, Macrobond

This suggests that two of our hypotheses may just be coming true: i) the services sector is becoming saturated, and ii) industrial performance and confidence were propped up by Hormuz-induced pre-stocking that is just beginning to fade. It should be noted that neither consumer nor business confidence is at levels consistent with strong economic performance, such as in the period just before the pandemic, when the economy was expanding at around 3%.

Stronger inflation will reduce real wage gains

Looking ahead, we expect firms' profitability to come under pressure due to increasing input costs combined with severe global (predominantly Chinese) competition. With this in mind, we don't see the private sector as being willing or able to sustain generous wage increases throughout the coming year. Nominal wage growth is expected to remain relatively solid at around 6% over the next year. However, when it comes to household budgets, part of the nominal income gain will be eroded by faster price growth, particularly for essential items such as food and energy. Ergo, we expect the economy to deliver below-par growth alongside above-par inflation over the coming year.

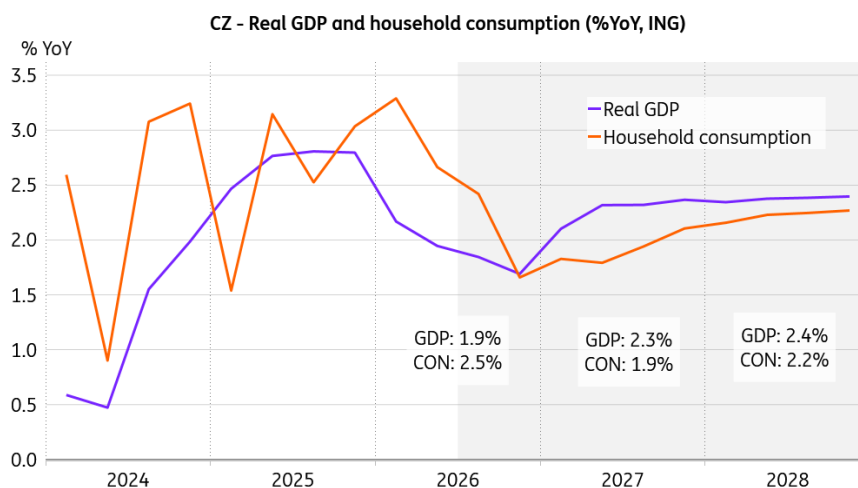
Real wage gains to soften in 2027



Source: CZSO, ING, Macrobond

We don't foresee any collapse in household spending at this stage, however, real wage growth is set to soften to 2.6% next year in our base case scenario from the more than 4% rate observed since 2024. Sure, this is still not too bad for the economy en gros, but for medium- and low-income households, the situation may get tricky. With that in mind, we expect slightly softer household consumption over the coming quarters, taking the 2027 average growth pace to 1.9%. At the same time, industry has recently regained its footing, with exporters set to benefit from a weaker koruna both now and in the future. We see the composition of growth shifting from strong household consumption and mediocre manufacturing performance towards somewhat weaker consumer spending and stronger industrial output.

Less buoyant consumer expenditure ahead



Source: CZSO, ING, Macrobond

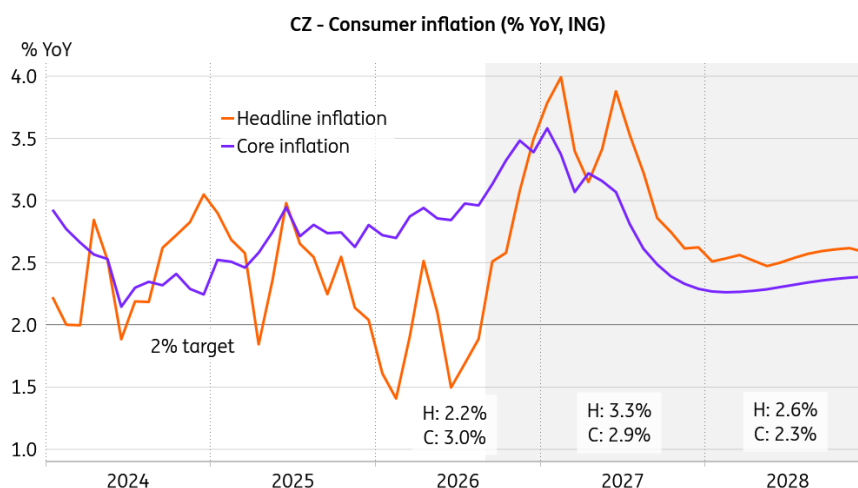
Under this scenario, the economy is set to grow by just under 2% this year and gradually

accelerate thereafter. That said, the recent re-escalation of the conflict in the Middle East, together with Brent crude prices rising above USD100/bbl, poses a clear risk to this outlook. Higher energy and material prices, and increased uncertainty, make the situation more complicated for businesses, while the weaker koruna will make imports more expensive, which may hit household budgets.

Inflation on the rise

And still, inflation is set to increase at the turn of the year. This reflects the textbook impact of a negative supply shock, where lower output is accompanied by higher prices. When it comes to the inflation outlook, we have taken on board the government measures to mitigate the surge in fuel prices, effective from October. We make the assumption that the cap on margins at fuel stations and the reduced excise duty on diesel will be implemented for six months, i.e., up until March next year. With Brent crude prices expected to decline to USD85/bbl by that time, it would be a good time to allow the measures to expire. Assuming conditions return to normal over the next two months, fuel prices are likely to receive a boost in April and May next year. So, the inflation profile has changed, namely the peak in February has shifted downwards a little to 4%, while the yearly average remains unchanged at 3.3%. Core inflation, which has become a key focus for policymakers, is set to average 2.9% next year, peaking at 3.6% in January.

Punchy inflation outlook

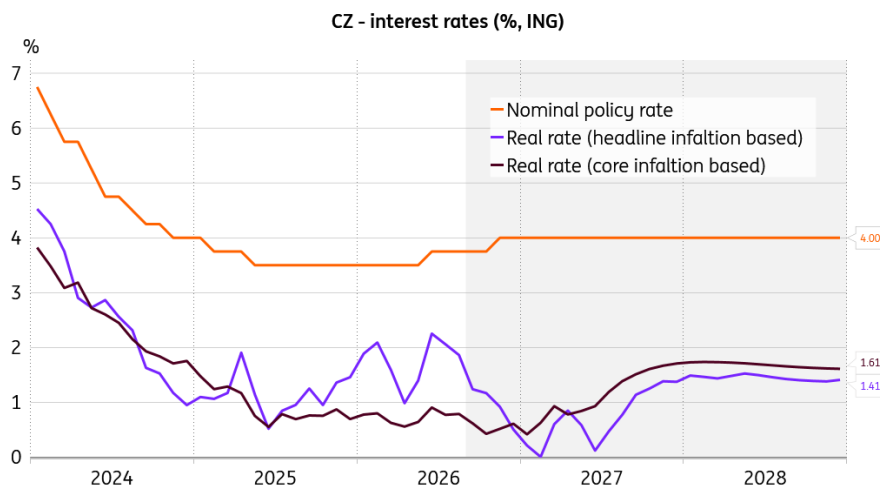


Source: CNB, ING, Macrobond

The major risk to the forecast remains the same: uncertainty around January's adjustment of regulated prices. We should obtain more information on distributors' pricing plans throughout November, which should help to reduce the current information vacuum. Nevertheless, suppliers have little incentive to announce price increases too early, as doing so could encourage customers to switch providers. And this creates an additional silent risk

for forecasters, as increases in electricity and natural gas prices, as well as surges in water and heating charges, may be announced at a very late stage or be done in smaller steps. Anyway, the first swallows have arrived, and some household energy price increases are due in September. As King Théoden says just before the battle has started: "So it begins".

Real interest rates will come under pressure



Source: CNB, ING, Macrobond

Meanwhile, I see upward risks for food prices. Higher costs for energy, fertilisers and transportation, along with below-average crop yields in Europe and ongoing difficulties in exporting Ukrainian grain (due to low water levels on the Danube and the blockade of the port of Odesa) could prove a toxic combination. For now, we stick to our view on policy rates and the Czech National Bank's likely course of action, assigning a 60% probability to a rate hike in November and 40% probability to rates remaining unchanged, with any increase likely to be a one-off fine-tuning move. It is a close call, as real interest rates are set to remain broadly positive, despite drifting close to the zero-bound in the first half of next year. The above-mentioned probabilities will evolve in response to CNB communication, news on regulated prices, Brent crude prices, and foreign exchange developments.

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Article | 24 September 2026

FX

FX Daily: Hawkish wave to hit Scandinavia today

We expect the Riksbank to deliver a hawkish hold, hinting at an imminent rate hike, which we expect in November. In Norway, we see a rate hike in a close decision. NOK faces greater upside than SEK as markets and consensus are more split regarding Norges Bank. Meanwhile, the dollar rally has accelerated, and the move is starting to look stretched



We expect the Riksbank to deliver a hawkish hold today

📉 USD: Rally starting to look stretched

The dollar jumped yesterday, with DXY breaking above 101.0. Very strong US PMIs, higher oil prices and soft risk sentiment have all contributed to the bullish narrative, although the move is starting to look stretched relative to fundamentals. We are cautious in calling for a bottom in the dollar just yet because any upside surprise in upcoming US data releases can easily prompt markets to fully price in an October Fed hike and prop up short-term rates even more. But if this risk doesn't materialise, we expect a correction in DXY in the coming weeks, with a return to the 100-100.5 area.

USD/JPY remains another source of potential downside risk for the dollar. The rapid rally in the

pair may draw Japanese authorities to intervene – remember last week's reported rate check – and that could easily spill over into a weaker USD across the board. Without any intervention, a return to above 160.0 levels looks inevitable after the dovish surprise by the Bank of Japan last week.

Today, focus will be on the summit between President Trump and Chinese leader Xi Jinping. There is a history of Trump striking a more conciliatory tone in face-to-face events, and Scott Bessent has already announced an extension of the trade truce by two months. We're not sure the dollar will respond much to positive US-China headlines at this stage, with any positive effect probably more visible in AUD and NZD. Those could emerge more prominently as proxies for CNY after the People's Bank of China set a weaker fixing for the yuan for the second consecutive day.

Fedspeak also remains firmly on investors' radar, with Williams, Barkin, Hammack and Paulson all due to deliver remarks today. The data calendar is quiet.

Francesco Pesole

↑ **EUR: Downside risks start to shrink**

The break below 1.140 in EUR/USD has sent the pair into stretched undervaluation territory according to our short-term fair value model. That's because short-term rate differentials actually moved in favour of the euro, offsetting the negative impact on fair value from lower equities and oil.

The move was entirely dollar-driven. [PMIs also surprised on the upside](#) in the eurozone, with services rising sharply, which marginally helped the euro in some crosses.

The lack of clear technical support in EUR/USD until the June lows, where intraday spot hit 1.1325-30, means catching the falling knife remains risky for now. However, we don't see the conditions for a break into new lows just yet unless the short-term rate differential widens in favour of USD. A 1.1430-1.1450 level would be more in line with the current environment. So we'd expect a convergence to that area ultimately.

Francesco Pesole

↑ **Scandies: A hawkish hold and a hike**

We expect SEK and NOK to outperform today thanks to a hawkish hold by the Riksbank and a 25bp rate hike by Norges Bank. NOK has more upside potential.

Markets and consensus are fully aligned in expecting no rate change by the Riksbank this morning. As discussed in our [preview](#), inflation has remained muted, even when adjusting for tax distortions. That argues against an urgent move just yet. However, the 2Q growth surprise

reduces the cost of delivering some insurance tightening, in our view, starting from the November meeting. Persistently high energy prices and SEK's weakening add to the pressure building from other central banks – especially the ECB and the Fed – that have started hiking already. We expect hints of imminent tightening and a revision higher in rate projections today.

SEK should get some help from it, but markets are already fully pricing in a November hike and another by February, meaning a decisive turn lower in EUR/SEK will still require lower oil prices and more stable risk sentiment. Upside risks into 11.35-11.40 remain in the near term, but our baseline is for a return to 11.0 by 1Q27.

In Norway (meeting preview [here](#)), inflation rebounded in August, but the underlying measure remained 0.3pp below Norges Bank's June projections. That makes it a close call today, and consensus is equally split between hike and hold. But a good growth outlook and pressure from other central banks' decisions can tilt the balance for a hike in our view. Market pricing is 16bp, allowing some room for NOK to rally from the hawkish surprise. Incidentally, markets are not pricing much more than one hike also into next year, meaning even a hawkish hold could not be dramatically negative for NOK. We think this is the last hike of the cycle anyway. We maintain a near-term EUR/NOK target of 10.70, but are looking at increasing downside risks into year-end.

Francesco Pesole

📉 CEE: Global headwinds keep regional FX under pressure

A new day brings a new direction for the markets. Market sentiment shifted again yesterday, and we saw a strong hawkish repricing across the region; rates across the region and along the curve returned to previous highs. Despite higher regional rates, we observe that rate differentials are actually narrowing or remaining stable. This is currently insufficient to stabilise FX, while the US dollar continues to rally. Coupled with a rebound in global energy prices, this creates an overall negative environment for CEE currencies.

We therefore maintain a bearish bias and anticipate further regional weakness, with the PLN likely to underperform in this environment given the central bank's dovish stance relative to its peers. Today's calendar is light, featuring only consumer confidence data from the Czech Republic – a figure unlikely to impact a market dominated by global narratives.

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Article | 23 September 2026

RATES SPARK

Rates Spark: The overshoot commences

A good series of PMIs has helped nudge global rates higher. It's taken us above some key levels, namely 5.1% on the US 10yr and 3.5% on the Euribor 10yr. And the move is likely far from over. To add insult to injury, we note that debt dynamics don't necessarily benefit from this



Higher rates can lead to wider European government bond spreads

PMIs have their day in the spotlight, and the US Treasury yield tops 5% with some conviction this time

The US composite PMI for September, at 58.4, is knocking on the door of 60. Above 60 has historically been associated with boom circumstances (at least on the ISM). Certainly some areas of the US economy are quite boomie. The Tech sector, for starters. But corporate America too. But that's the antithesis to the Michigan consumer sentiment survey, which has suggested that things have never been as bad. So bad, the data are hard to believe. Two absolute extremes. The US 10yr took note of the PMI, and shot back above 5%, even breaching above 5.1%. And the carry spread (funds rate to 2yr) is back up at over 100bp. Plus, the probability of a rate hike in October has moved above 70%. It feels like Treasuries have decided that enough of this pondering below 5% for the 10yr yield – let's just shoot above as that's where we should be. We have no issue with the move.

As we noted [here](#), it's not impossible that we get through the coming months without another

significant move higher in long-end yields. However, the balance of probabilities suggests there is at least one more leg of long-end weakness still to play out. In an extreme scenario, this could take US 10-year yields into the 5.25% to 5.5% range. Specifically, we nudged higher anticipated end-year 10yr bond yield forecasts. It was a subtle move (was 4.9%), but significant in the sense that it brings into play some key levels. In the US, the key number for the 10yr is now 5.1% at year-end, while for the eurozone we're in the 3.5% area for long-tenor rates. This is where we are now, but importantly, leaves open the risk that we're at the beginning of an overshoot process that has just begun. Now the overshoot risk really comes to the fore, and here we're still just 50bp ish above what we consider to be "normal yield levels".

Better growth is not necessarily good news for European government debt dynamics

[A sound series of PMIs](#) also pushed up euro rates, but this is a double-edged sword – higher rates can also translate to wider European government bond spreads. The spread between French 10Y government bonds (OATs) and German Bunds widened by some 6bp, pushing the spread to well above 100bp. The first stretch of the widening was driven by upside growth surprises in the eurozone, but the last 3bp was due to moves in US rates.

An improving global growth story should in theory support the fiscal outlooks of countries, but only if the improvement is proportional to the rise in rates. Compared to a year ago, the yield on a 10Y Bund is now around 100bp higher. From a debt sustainability perspective, nominal growth expectations should improve by at least 1% to match the repricing in rates. One could argue that markets were too pessimistic on long-term nominal growth expectations last year, but a full percentage point increase is a big increase.

The challenge here is that the rise in rates has been predominantly driven by external forces. US markets have taken the lead in pushing longer-dated real rates upwards, and Japan has also added to that pressure. Meanwhile, oil prices have pushed rates higher on the short end of the curve, but this has spillovers to longer rates too. All these factors can keep upward pressures on euro rates in the near term, even if the growth environment were to weaken.

Thursday's events and market views

After French consumer and manufacturing confidence numbers in the morning, the focus will be on the German Ifo readings. After strong German PMIs, markets will likely look for more promising signs in the expectations component. From the US we have weekly jobless claims numbers and new home sales data.

Italy will auction 2y BTP, 5y BTPei and 11y BTPei for a total of €4.5bn. The US will auction a new 7y Note for a total of \$44bn.

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Article | 23 September 2026

COMMODITIES DAILY

The Commodities Feed: Brent drops below \$100

Oil prices continue to retreat as expectations of increased Saudi crude exports, progress in US-Iran talks, and a larger-than-expected rise in US crude inventories help ease supply concerns



Energy – Saudi pipeline restart weighs on oil prices

Oil prices fell sharply on Wednesday, with Brent dropping below \$99/bbl and WTI trading near \$89/bbl. The sell-off was driven by expectations of rising Saudi crude exports, diplomatic progress between the US and Iran, and a larger-than-expected build in US crude inventories, all of which helped ease concerns over Middle East supply disruptions. Brent has now declined for six consecutive sessions, its longest losing streak since August 2025, bringing cumulative losses to more than 9.5%.

Saudi Arabia has restarted operations at its East-West pipeline and could soon resume exports from the Yanbu terminal. The route, which bypasses the Strait of Hormuz, has a capacity of around 7m b/d and is expected to gradually restore lost export flows, potentially increasing global crude supplies in the coming weeks.

On the geopolitical front, President Donald Trump described recent discussions with Iranian officials as "very productive", raising hopes for further diplomatic progress and reducing fears

of prolonged supply disruptions in the region. Despite the recent correction, oil prices remain more than 60% higher year-to-date.

Additional pressure came from the latest API data, which showed US crude inventories rose by 1.7m barrels last week, compared with expectations of a 578k-barrel draw. Meanwhile, gasoline and distillate stocks each fell by 2.2m barrels. The market will now look to the EIA inventory report later today for confirmation.

US natural gas prices extended gains for a second session, with Henry Hub futures trading above \$3/MMBtu. Prices were supported by lower production in the Lower 48 and forecasts for cooler temperatures across the Northeast, which could boost heating demand. However, potential storm-related power outages may limit the increase in gas consumption.

Metals – Strong demand drives Chinese gold imports

Chinese gold imports rose 39.3% year-on-year to 141.7 tonnes in August, taking year-to-date imports to a record 1,141.2 tonnes, up 72.2%. Lower gold prices, a stronger yuan and persistent domestic price premiums encouraged inflows, while banks also drew on remaining import quotas under the licensing regime introduced by the People's Bank of China in June. Chinese gold ETFs added around 44 tonnes through August, an 18% increase from the start of the year, according to the Shanghai Gold Exchange, while global ETF holdings were broadly unchanged.

LME copper extended gains for a sixth consecutive session on Tuesday, its longest winning streak since May, before retreating slightly Wednesday morning, as tight physical market conditions in China continued to support prices. Falling inventories, holiday-related restocking and seasonal demand ahead of the Mid-Autumn Festival and National Day holidays boosted consumption. Shanghai copper cathode inventories fell by 14,700 tonnes to 43,900 tonnes, the lowest level since December 2023. While imported copper arrivals have increased, most material has flowed directly to fabricators rather than warehouses, keeping spot supplies tight.

Indonesia's Morowali Industrial Park (IMIP) has instructed nickel pig iron producers to curb output as El Niño-related drought conditions strain water supplies needed for processing operations. The cuts could affect around 100,000 tonnes of NPI production, compared with the park's annual capacity of roughly 4.2 million tonnes.

Investor positioning across base metals remained subdued. According to the latest COTR data, net bullish copper positions fell by 3,981 lots to 42,132 lots, the lowest level since late March and marking a sixth consecutive weekly decline despite higher prices. Aluminium net longs dropped by 11,623 lots to 77,423 lots, driven largely by long liquidation, while zinc net longs fell by 2,787 lots to 29,946 lots, extending their decline for a fourth straight week.

Agriculture – Ukraine completes wheat harvest

Ukraine's grain and legume harvest reached 33mt as of 22 September, up 10% year-on-year, with 7m hectares harvested, equivalent to 61% of the planned area. Wheat harvesting is now complete, with production rising 11% year-on-year to 25.3mt. Corn harvesting remains at an early stage, with output reaching 340kt from 68k hectares, compared with 389kt produced at the same point last year.

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Article | 21 September 2026

RATES FRANCE

France's elusive €54bn fiscal fix

France's fiscal position is worse than expected, and the government has not yet presented a fully documented response. Debt will keep rising, while political fragmentation means that a credible long-term solution is unlikely to emerge soon



France's fiscal position continues to deteriorate and there appears to be no long-term solution

A much tougher starting point for 2027

France's fiscal outlook has deteriorated again. The government now expects the public deficit to reach 5.4% of GDP in 2026, up from the 4.6% objective set at the start of the budgetary process and the 5.1% recorded in 2025. Weaker activity plays an important role in the explanation. The government has cut its 2026 growth forecast from 1% to 0.5%, reducing tax revenues, while energy-related support measures and higher interest expenditure have increased public spending.

The starting point for the 2027 budget is even more challenging. According to the government, the deficit could reach 6.5% of GDP without new corrective measures, as ageing-related expenditure, indexed pensions and benefits, debt-servicing costs and other commitments continue to rise, while temporary tax measures expire or are reduced. The required adjustment has also increased substantially: debt-servicing costs alone are expected to rise by around €10bn in 2027. A growing share of any fiscal effort will therefore be needed to offset higher interest expenditure.

A €54bn ambition, but few details

Prime Minister Sébastien Lecornu has announced a budgetary effort of around €54bn to limit the deficit to 5% of GDP in 2027. However, this remains a political objective rather than an adopted or fully documented plan. The government has not explained in detail how the figure was calculated, although some measures are already known.

These include freezing central government expenditure in nominal terms outside defence, restraining local government spending, freezing the civil-service pay scale, limiting increases in some pensions and benefits, saving €2bn on sick leave and extending the temporary corporate tax surcharge at a lower rate. Net public expenditure is expected to rise by 0.7% in 2027, after 1.4% in 2026. Spending would therefore continue to increase, but its share of GDP would decline slightly from 57.1% to 56.9%, despite higher defence and debt-servicing costs.

The adjustment would also rely heavily on revenues. The tax-to-GDP ratio is expected to rise from 43.9% to 44.2%, despite the government's pledge of fiscal stability. No broad-based tax increase has been announced; income-tax brackets would remain indexed to inflation and the corporate surcharge would be reduced. The government expects €1bn from stronger action against fraud and plans to review some tax breaks, but it has not explained where the rest of the additional revenue would come from. The package therefore remains only partly documented.

The €54bn headline also carries a political message. It highlights to French MPs the cost of rejecting the budget or bringing down the government, while warning the next administration about the challenge it would inherit. But adoption is far from certain. Without a parliamentary majority, the government must either negotiate enough support or resort to Article 49.3, at the risk of a no-confidence motion. The 5% deficit target therefore remains an ambition rather than a secured outcome. What is beyond doubt is that France faces a very substantial fiscal adjustment.

Debt is still moving in the wrong direction

This deterioration comes amid an already high debt burden. Public debt reached €3.54tr, or 117.5% of GDP, in the first quarter of 2026, up from 115.7% at the end of 2025. The government expects it to rise further, to 119.3% in 2026 and 121.7% in 2027. Even if the deficit falls to 5% next year, the budget would only slow the deterioration, not stabilise the debt ratio.

This leaves France increasingly exposed to higher refinancing costs. The implicit interest rate on public debt has risen from 1.25% in 2020 to around 2% in 2025. The European Commission's May forecast put it at 2.3% in 2026 and 2.43% in 2027, but the subsequent increase in market yields suggests that the eventual cost could be higher. With average debt maturity at around eight-and-a-half years, the pass-through will be gradual but persistent.

France is drifting further from its European commitments

The new targets represent a substantial departure from France's European commitments. Under the previous fiscal path, the deficit was expected to fall to 4.6% of GDP in 2026, 4.1% in 2027 and 3.4% in 2028, before moving below the EU's 3% threshold in 2029. The new figures for 2026 and 2027 are respectively 0.8 and 0.9 percentage points higher. A deficit of 5% in 2027 would leave France with more than two percentage points of adjustment to deliver in just two years to return below 3% in 2029. Such an adjustment appears highly unlikely, meaning that the commitment no longer looks credible.

A lasting solution will have to wait

France is no longer dealing only with a cyclical budget miss. Lower growth has worsened the near-term figures, but structural spending pressures and a rising interest bill are also widening the deficit. Even if the full €54bn effort is delivered, the deficit would remain far above the European threshold and insufficient to stabilise the debt ratio.

A credible multi-year consolidation plan is unlikely to emerge soon. The presidential election will take place on 18 April and 2 May 2027 and is likely to be followed by parliamentary elections, but there is a high risk that no clear majority will emerge. In that case, even an administration committed to stabilising the debt would struggle to approve and implement the necessary measures.

A different risk is that the next administration may simply choose not to prioritise fiscal consolidation, as some candidates are focusing more on new spending or reallocating expenditure than on reducing the deficit. France's ability to address its debt problem will therefore depend both on the next government's fiscal priorities and on whether it can secure sufficient parliamentary support to implement them.

Charlotte de Montpellier

Bond spreads will remain under widening pressure for now

The widening dynamic of French government bond spreads versus Germany accelerated last week after the government's budget plans again highlighted the magnitude of the problem and the difficult political path ahead. The widely watched 10y benchmark spread topped 100bp, reaching highs not seen since 2012.

On Friday, the rating agency DBRS lowered the outlook on its AA rating for France to negative. The agency Scope downgraded France to A+/Stable and cited the deteriorating fiscal outlook. Moody's, with its rating still at Aa3/Negative, is due to review on 23 October and could be next to lower its rating. One can, of course, view this as catching up with Fitch and S&P, both of which already have France at A+. The stable outlooks for these single-A ratings can also

argue for some reprieve. But the latest actions highlight that patience might be wearing thin after political turmoil that has basically been ongoing since the summer of 2024.

Arguably, a lot of the political and fiscal risk is already priced into the spread. 10y French bonds yield more than 10bp above their Italian counterpart, with debt metrics worse than France, lower ratings but arguably a less uncertain political landscape and a more domestic investor base that is deemed less volatile. Foregone carry also means positioning against France is also a costly affair.

But timelines don't play in favour of French government bonds – the 2027 budget now, the presidential election early next year, likely followed by parliamentary elections and then government formation. That means the positives for spread dynamics will likely have to come from somewhere else. Spreads have shown a greater correlation with oil prices as a gauge of geopolitical tensions. While we still eye an easing of tensions after the US mid-term elections, the Middle East conflict has already dragged on for longer than hoped.

One important backstop to the spread dynamics is the ECB and its Transmission Protection Mechanism (TPI). On paper, the conditionality of deploying TPI looks very strict, but we would argue the ECB has a lot of discretion when the broader market functioning is deemed at risk. However, the hurdle for the ECB to engage in bond purchases might be higher in the current situation where the central bank is focused on inflation and eyeing further tightening.

For now, we are looking at the widest spreads since the sovereign debt crisis of 2011/2013. French 10y spreads over German Bunds peaked just below 190bp back then, and it eventually took Draghi's famous "whatever it takes" in summer 2012 to turn the tide for good. We do not think we will head that far as the ECB precedent has been set. But without any positive developments in the Middle East and/or more encouraging headlines out of the political arena, the 10y spread could occupy a range of 100 to 125bp in the coming months.

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